

S&P Global Italy Services PMI[®]

Growth of Italian service sector eases to slowest in three months

September 2026

Total new business rises at softest rate in third quarter...

...despite strongest growth in exports since May 2024

Steepest uptick in charges in almost two-and-a-half years as cost pressures build

The Italian service sector continued to grow at the end of the third quarter, according to September PMI[®] data by S&P Global.

Rates of expansion in both activity and new business slowed to their weakest in three months, however. The latter remained elevated compared to the series trend, nonetheless, supported by the strongest growth in export sales since May 2024. Recruitment activity softened in response and employment rose at a cooler pace, while cost pressures rose at robust rate that was steepest in four months. Charge inflation also crept higher.

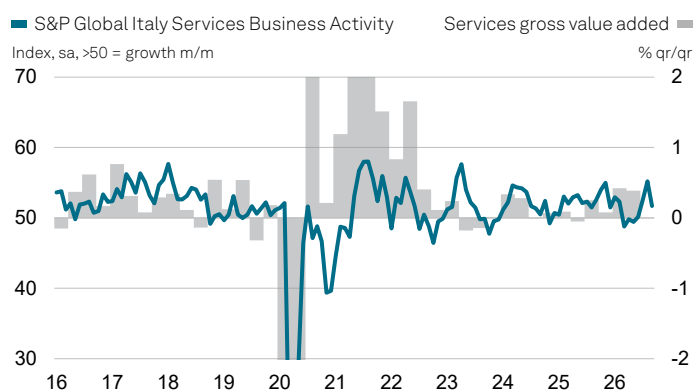
The headline S&P Global Italy Services PMI[®] Business Activity Index is based on a single question asking how the level of business activity compares with the situation the month before. A reading above 50.0 signals expansion, and the further above 50.0 the faster the rate of growth signalled.

The headline Business Activity Index dropped from August's 40-month high of 55.2 to 51.7 in September. The latest reading was consistent with modest growth that was the least marked in the third quarter. Panellists detailed higher sales volumes and new customer wins as driving the upturn.

Likewise, the overall volume of new business placed at Italian service providers increased for a fourth month running. The upturn was also seen to have lost momentum, but here the rate of growth remained elevated by historical standards. Evidence that the demand softening was linked to the domestic market was reflected in stronger international demand, as new export business rose at the strongest rate in over two years (since May 2024).

Although marking the twentieth month of uninterrupted growth in workforce numbers, recruitment activity in the latest period was the slowest since June. At the same time, there was broadly no change in the volume of backlogged orders - a sign that capacity was sufficient to keep on top of workloads.

On the price front, cost pressures faced by service providers picked up for the second month in a row. The pace of inflation was steep, pushing the overall reading to its



Data were collected 10-25 September 2026.

Sources: S&P Global PMI, ISTAT via S&P Global Market Intelligence. © 2026 S&P Global

Comment

Eleanor Dennison, Economist at S&P Global Market Intelligence:

"Although the Italian service sector appeared to have lost some steam in September, the average reading of the Business Activity Index for the third quarter was above that seen in 2026 so far.

"Despite softening, the rate of growth in new business remained above trend, supported by greater inflows of new work from abroad. Export demand was in fact its strongest in well over two years.

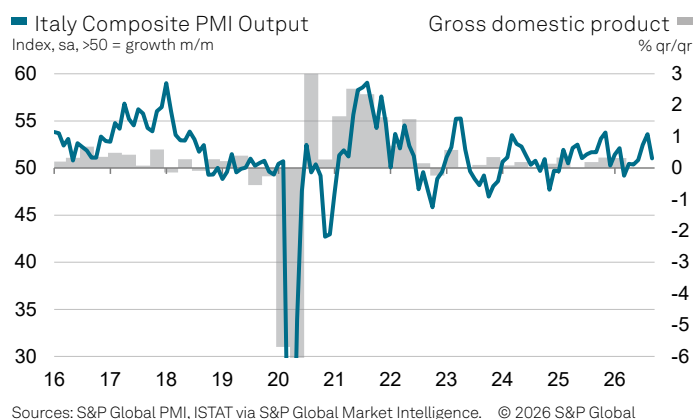
"On jobs, firms continued to recruit additional staff, but at a softer rate, while capacity pressures diminished.

"The key concern for the Italian service sector was the recent resurgence in cost pressures. Still, the rate of input price inflation failed to quite reach the level seen in May following the initial impact due to the war in the Middle East. Stability in demand encouraged a greater degree of pass-through to customers, however."

highest since May. Around 36% of firms indicated a rise in their operating expenses over the month, compared to just 3% that saw a fall. The war in the Middle East was a factor behind higher costs, where energy, fuel, transport, wages and tolls were all reported as 'up in price' by panellists.

Only around 13% of companies opted to raise their output charges in September (against 4% that offered discounts). Still, the overall rate of selling price inflation reached its highest in almost two-and-a-half years.

There was a greater degree of positive sentiment among service providers in Italy in September, with confidence picking up to one of the highest in just over a year. New product launches, customer wins and hopes for better international business conditions underpinned the positive reading. However, worries around economic conditions, including higher interest rates weighed on the outlook and kept the degree of optimism below trend level.



S&P Global Italy Composite PMI®

Private sector output slowest in three months

Down from 53.6 in August, the S&P Global Italy Composite PMI Output Index dropped to 51.0 in September. The latest reading was consistent with modest growth in private sector output that was the slowest in the third quarter.

For both activity and new business, growth was centred on the service sector, as their manufacturing counterparts signalled sustained, but softer contractions.

Growth in private sector employment slowed to a marginal rate, while the latest reduction in backlogs was only marginal. Rates of both input cost and output charge inflation rose to four-month highs.

Contact

Eleanor Dennison
Economist

S&P Global Market Intelligence

T: +44-1344-328-197

eleanor.dennison@spglobal.com

Hannah Brook

EMEA Communications Manager

S&P Global Market Intelligence

T: +44-7483-439-812

hannah.brook@spglobal.com

press.mi@spglobal.com

If you prefer not to receive news releases from S&P Global, please email press.mi@spglobal.com. To read our privacy policy, click [here](#).

Methodology

The S&P Global Italy Services PMI® is compiled by S&P Global from responses to questionnaires sent to a panel of around 450 service sector companies.

The sectors covered include consumer (excluding retail), transport, information, communication, finance, insurance, real estate and business services. The panel is stratified by detailed sector and company workforce size, based on contributions to GDP. Data collection began in January 1998.

Survey responses are collected in the second half of each month and indicate the direction of change compared to the previous month. A diffusion index is calculated for each survey variable. The index is the sum of the percentage of 'higher' responses and half the percentage of 'unchanged' responses. The indices vary between 0 and 100, with a reading above 50 indicating an overall increase compared to the previous month, and below 50 an overall decrease. The indices are then seasonally adjusted.

The headline figure is the Services Business Activity Index. This is a diffusion index calculated from a question that asks for changes in the volume of business activity compared with one month previously. The Services Business Activity Index is comparable to the Manufacturing Output Index. It may be referred to as the 'Services PMI' but is not comparable with the headline manufacturing PMI figure.

The Composite Output Index is a weighted average of the Manufacturing Output Index and the Services Business Activity Index. The weights reflect the relative size of the manufacturing and service sectors according to official GDP data. The Composite Output Index may be referred to as the 'Composite PMI' but is not comparable with the headline manufacturing PMI figure.

Underlying survey data are not revised after publication, but seasonal adjustment factors may be revised from time to time as appropriate which will affect the seasonally adjusted data series.

For further information on the PMI survey methodology, please contact economics@spglobal.com.

Disclaimer

The intellectual property rights to the data provided herein are owned by or licensed to S&P Global and/or its affiliates. Any unauthorised use, including but not limited to copying, distributing, transmitting or otherwise of any data appearing is not permitted without S&P Global's prior consent. S&P Global shall not have any liability, duty or obligation for or relating to the content or information ("Data") contained herein, any errors, inaccuracies, omissions or delays in the Data, or for any actions taken in reliance thereon. In no event shall S&P Global be liable for any special, incidental, or consequential damages, arising out of the use of the Data. Purchasing Managers' Index™ and PMI® are either trade marks or registered trade marks of S&P Global Inc or licensed to S&P Global Inc and/or its affiliates.

This Content was published by S&P Global Market Intelligence and not by S&P Global Ratings, which is a separately managed division of S&P Global. Reproduction of any information, data or material, including ratings ("Content") in any form is prohibited except with the prior written permission of the relevant party. Such party, its affiliates and suppliers ("Content Providers") do not guarantee the accuracy, adequacy, completeness, timeliness or availability of any Content and are not responsible for any errors or omissions (negligent or otherwise), regardless of the cause, or for the results obtained from the use of such Content. In no event shall Content Providers be liable for any damages, costs, expenses, legal fees, or losses (including lost income or lost profit and opportunity costs) in connection with any use of the Content.

S&P Global

S&P Global (NYSE: SPGI) provides essential intelligence. We enable governments, businesses and individuals with the right data, expertise and connected technology so that they can make decisions with conviction. From helping our customers assess new investments to guiding them through ESG and energy transition across supply chains, we unlock new opportunities, solve challenges and accelerate progress for the world.

We are widely sought after by many of the world's leading organizations to provide credit ratings, benchmarks, analytics and workflow solutions in the global capital, commodity and automotive markets. With every one of our offerings, we help the world's leading organizations plan for tomorrow, today.

www.spglobal.com

PMI by S&P Global

Purchasing Managers' Index™ (PMI®) surveys are now available for over 40 countries and also for key regions including the eurozone. They are the most closely watched business surveys in the world, favoured by central banks, financial markets and business decision makers for their ability to provide up-to-date, accurate and often unique monthly indicators of economic trends.

www.spglobal.com/marketintelligence/en/mi/products/pmi